

EQUITY RESEARCH REPORT

Sun Pharmaceutical Industries Limited

NSE: SUNPHARMA | BSE: 524715

Date: 23 September 2026

Recommendation	Current Price	Model Target	Market Cap
HOLD / REDUCE	~₹1,850–1,860	₹1,077	~₹4.43–4.48 Lakh Cr
Implied Downside (Model)	~42%	Shares Outstanding	239.93 Cr

1. Investment Summary / Thesis

Sun Pharma is India's largest pharmaceutical company by market share (~8.4%) and a leading global specialty generics player with presence in 100+ countries. The business is well diversified across India branded formulations, US formulations (generics + innovative medicines), Emerging Markets, Rest of World, and APIs.

Key Positives

- Consistent double-digit revenue growth in FY26 (+11.9% to ₹58,220 Cr sales) with strong India performance (+14%) and Innovative Medicines momentum.
- Healthy EBITDA margins (~30% in FY26) and robust free cash generation.
- Strong balance sheet with substantial net cash position.
- Leadership in chronic therapies in India and a growing specialty/innovative portfolio (Ilumya and others).

Key Concerns / Model View

- The FCFF DCF model (detailed in Section 5) derives an intrinsic value of only ₹1,077 per share versus the current market price of ~₹1,853–1,860, implying the stock trades at a **1.72x premium** to the model's fair value.
- Growth is expected to moderate to high single digits in FY27 amid regulatory and macro headwinds.
- Valuation multiples remain elevated relative to the conservative growth and reinvestment assumptions in the model.

Overall Stance: Quality franchise with defensive characteristics, but the current price appears to fully (or more than fully) reflect near-to-medium-term prospects under the provided DCF framework. Prefer accumulation on meaningful corrections.

2. Company Overview

Founded in 1983 by Dilip Shanghvi and headquartered in Mumbai. Sun Pharma develops, manufactures and markets branded generics and formulations (especially strong in India), generics (notably in the US), Innovative / Specialty Medicines (dermatology, ophthalmology, onco-dermatology), Active Pharmaceutical Ingredients (APIs), and consumer healthcare products.

It operates 40+ manufacturing facilities across continents and ranks among the top global specialty generics companies. India remains the largest single market (~33% of sales), followed by the US (~29%), Emerging Markets (~19%), and Rest of World (~15%).

3. Industry & Competitive Positioning

The global and Indian pharmaceutical markets continue to benefit from ageing populations, rising chronic disease burden, and increasing healthcare access in emerging economies. India is a branded-generics market where doctor relationships, brand equity and distribution matter significantly.

Sun Pharma holds the #1 position in India by market share and prescriptions across multiple doctor categories. In the US it is a top-15 generics player with an expanding specialty/innovative portfolio. Competition is intense from both Indian peers (Cipla, Dr Reddy's, Torrent, Zydus) and global players, particularly on pricing in the US generics segment and new product launches.

4. Financial Performance (FY26 ended 31 March 2026)

Consolidated Highlights (₹ Cr unless noted):

Metric	FY26	YoY Growth
Revenue from Operations	58,462	+11.2–11.9%
EBITDA	17,731	Margin 30.3% (+130 bps)
PAT (Attributable)	11,479	+5%
India Formulations	19,290	+14%
R&D Spend	~6.1% of sales	—

Q1 FY27 continued the trend with sales growth of ~10% and healthy profitability. Return ratios (ROIC historically in the mid-teens) remain solid for a large pharma company. Strong operating cash flow and net cash position (cash & equivalents + investments substantially higher than debt).

5. Valuation – FCFF DCF Model

The valuation framework is a classic Free Cash Flow to Firm (FCFF) Discounted Cash Flow model using mid-year convention. All figures are in ₹ Crore unless stated otherwise.

5.1 FCFF Build-up

Particulars	Mar-26	Mar-27E	Mar-28E	Mar-29E	Mar-30E	Mar-31E
EBIT	15,457.79	16,076.32	16,719.59	17,388.61	18,084.40	18,808.03
Tax Rate	25.17%	25.17%	25.17%	25.17%	25.17%	25.17%
EBIT (1-T)	11,567.06	12,029.91	12,511.27	13,011.90	13,532.56	14,074.05
Reinvestment Rate	21.9%	22.5%	22.9%	23.2%	23.5%	24.2%
FCFF	9,038.16	9,328.63	9,646.38	9,989.06	10,354.98	10,663.93

5.2 Discounting Assumptions & Terminal Value

- Mid-year factors: 0.5 / 1.5 / 2.5 / 3.5 / 4.5
- Discount factors (at WACC 10.33%): 0.981 / 0.943 / 0.907 / 0.872 / 0.838
- Expected growth in explicit period: 4.00%
- Terminal growth rate: 5.50%
- WACC: 10.33%

Terminal Value Calculation:

1. $FCFF_{1+n}$ (Mar-31 $\times$ 1.055) $\approx$ 11,090.6
2. Terminal Value = $11,090.6 / (10.33\% - 5.50\%) \approx 229,431$
3. PV of Terminal Value $\approx$ 192,298.50

5.3 Equity Value Bridge

Item	Value (₹ Cr)
PV of Explicit FCFF	59,021.14
PV of Terminal Value	192,298.50
Value of Operating Assets	251,319.64
Add: Cash	11,603.08
Less: Debt	4,627.32
Value of Equity	258,295.40
Shares Outstanding (Cr)	239.93
Equity Value per Share (₹)	1,076.53
Current Price of Share (₹)	~1,853.50

5.4 WACC Derivation

Peer set (Sun Pharma, Torrent Pharma, Apollo Hospitals, Zydus Lifesciences, Cipla) used for unlevered beta $\approx$ 0.60–0.61 (median).

- Target Debt/Equity 17.4% → Levered beta 0.69
- Risk-free rate 7.05%, Equity Risk Premium 5.90% → Cost of Equity 11.11%
- Pre-tax cost of debt 7.87%, post-tax 5.89%
- Target capital structure (Debt 14.8% / Equity 85.2%) → **WACC 10.3%**

5.5 Supporting ROIC / Reinvestment Analysis

Recent ROIC has improved to the mid-teens (latest year $\sim$ 14.8%). Average 4-year expected growth rate derived from ROIC $\times$ Reinvestment $\approx$ 4.0% (median 3.0%), which is consistent with the modest explicit growth used in the DCF.

6. Key Risks

- US generics pricing pressure and regulatory (FDA) issues at facilities.
- Execution and integration risks if large M&A materialises.
- Currency volatility (significant international revenue).
- Higher-than-modelled reinvestment needs or lower terminal growth.
- Competition in specialty/innovative segments and India branded market.
- Model sensitivity: higher WACC or lower terminal growth would further reduce fair value.

7. Catalysts to Monitor

- Quarterly results trajectory (especially Innovative Medicines and India growth).
- New product launches and pipeline updates.
- Any clarity on large inorganic opportunities.
- Margin sustainability and capital allocation (dividends / buybacks).

8. Conclusion & Recommendation

Sun Pharma remains a high-quality, cash-generative pharmaceutical franchise with leadership positions in India and a growing specialty business. However, the detailed FCFF model indicates the stock is trading at a significant premium (1.72x) to the derived intrinsic value of ₹1,077. Street targets are generally higher (₹2,000–2,200 range) using earnings multiples, reflecting optimism on specialty growth and the balance-sheet strength.

Recommendation: HOLD. Prefer to wait for better entry points closer to the model's fair value or a clearer acceleration in growth/margins before adding meaningfully.